

Preliminary Advice Note

Client: Shikari Inc.

Matter: *Ludens Inc. – Claims for breach of confidence and GDPR obligations following cyber incident*

Forward

This note provides preliminary advice to Shikari Inc. in response to claims brought by Ludens Inc. following a recent cyber incident. The purpose is to set out the key facts as we understand them, outline the issues raised by Ludens, and provide an initial framework for assessing Shikari's position.

A data breach occurred at Shikari's EU-based data center, a facility rated at the highest level of business continuity. During this incident, servers hosting data belonging to Ludens were compromised. The data in question included three main categories:

1. Commercial know-How, such as client lists, marketing strategies, sales, and financial data.
2. Technical Know-How, including information about Ludens' diagnostic technology, patents, manuals, and technical drawings.
3. Health Data, relating to patients diagnosed using Ludens' tools, which Ludens processed and resold in anonymized or aggregated form.

Ludens has raised two claims in its warning letter. First, that disclosure of its Commercial and Technical Know-How amounts to a breach of confidence. Second, that Shikari is directly liable under the General Data Protection Regulation (GDPR) for allegedly failing to implement sufficient safeguards to prevent unauthorized access to health-related data.

This note does not attempt to resolve all questions but instead provides initial observations and defensive considerations. Additional documentation and clarification will be necessary before a complete assessment can be made.

Executive Summary

Shikari Inc. currently faces two potential claims from Ludens Inc. arising out of the recent cyber incident at Shikari's EU based data center:

1. Breach of confidence (trade secrets): Ludens alleges that its Commercial and Technical Know-How was exposed during the breach. To succeed, Ludens must demonstrate that this information qualifies as trade secrets under Directive (EU) 2016/943. That requires showing the material was genuinely secret, held commercial value because of its secrecy, and was subject to reasonable steps to

keep it confidential. If parts of the information, such as published patent filings, were already publicly available, they cannot be treated as confidential. Further, if Ludens failed to use protective measures like encryption before transferring the data to Shikari, its position may be weakened. Finally, Ludens would need to show disclosure caused actual misuse or competitive harm, not just theoretical exposure.

2. **GDPR liability (failure to protect Health Data):** Ludens also claims Shikari failed to comply with Article 5(1)(f) GDPR, which requires personal data to be processed securely. The key issue is whether the Health Data was fully anonymized or only pseudonymized. If anonymized, GDPR does not apply. If pseudonymized, GDPR obligations remain, but Ludens is the data controller (determining how the data is used and sold) and Shikari is the processor (hosting on Ludens' instructions). Controllers hold primary responsibility under GDPR, while processors have narrower duties under Article 28. Shikari can point to its Rating 4 certification and other technical safeguards as evidence that it applied "appropriate" measures as required by law.

At this stage, both claims present uncertainties. The breach of confidence claim is vulnerable if Ludens cannot show secrecy, safeguards, and misuse. The GDPR claim turns on the anonymization's status of the Health Data and on the contractual allocation of responsibilities between Ludens as controller and Shikari as processor.

Immediate next steps should focus on reviewing the colocation and processing agreements, confirming the exact status of the Health Data, and documenting Shikari's existing security measures. These will form the foundation of Shikari's defense.

Summary of Arguments

For the breach of confidence claim, Ludens carries the burden of showing that its Commercial and Technical Know-How qualifies for protection as trade secrets. That requires evidence of three elements: that the information was secret, that it derived commercial value from being kept secret, and that Ludens took reasonable steps to preserve that secrecy. If parts of the information, such as patent applications or granted patents, were already in the public domain, those elements cannot be treated as confidential. In addition, if Ludens failed to implement adequate safeguards before storing the material with Shikari, it will be difficult to argue that "reasonable steps" were taken. Finally, even if the information was exposed, Ludens must go further and prove that the exposure led to actual misuse or competitive harm. Without evidence of this causation, the damages claim is unlikely to succeed.

For the GDPR/data protection claim, the decisive question is whether the Health Data stored on Shikari's servers was anonymized or pseudonymized. If the data was fully anonymized, it is outside the scope of GDPR and no claim can be made. If pseudonymized, the GDPR obligations remain, but the responsibility primarily falls on Ludens as the data controller, not on Shikari as the processor. Shikari's role is limited to hosting data on Ludens' instructions, and processors have narrower obligations under Article 28 GDPR. Shikari can also point to its Rating 4 certification, which demonstrates that it had in place the highest level of technical and organized safeguards recognized in the industry. GDPR requires measures that are "appropriate to the risk," not absolute prevention of breaches, and Shikari's infrastructure provide strong evidence of compliance.

Next Steps

Before finalizing a defense strategy, Shikari should gather key documents and evidence to clarify its position. The most immediate priorities are:

- **Contracts:** Review the colocation agreement with Ludens and any related data processing agreements to determine how responsibilities, confidentiality obligations, and liability are allocated between parties.
- **Data Status:** Confirm whether the Health Data at issue was anonymized, pseudonymized, or still identifiable, as this will directly affect the applicability of GDPR obligations.
- **Technical evidence:** Collect technical documentation, security certifications, and forensic reports showing what protective measures were in place at the time of the incident, how the breach occurred, and whether there is evidence of data misuse or exfiltration.

These materials will be essential to refine Shikari's defenses and prepare for any formal proceedings.

Defensive Strategy

1. Breach of confidence Claim

a. Key Definitions

- Under Directive EU 2016/943, information qualifies as a trade secret if:
 - (1) it is a secret.
 - (2) has commercial value because it is a secret, and
 - (b) has been subject to reasonable steps to keep it a secret.
- **Confidential information** – Information that is not in the public domain and is shared subject to an obligation of confidence. This may arise under contract, established practices, or implied duties between parties.

These definitions are critical, because Ludens' claim depends on proving that its Commercial Know-How and Technical Know-How fall within these protected categories and that Shikari's actions (or inactions) caused unlawful disclosure.

Defensive Arguments

Shikari can resist the breach of confidence claim on several grounds:

- Proof of secrecy and safeguards – Under the EU Trade Secrets Directive, Ludens must show it took reasonable steps to preserve secrecy. If safeguards on its own systems or uploads to Shikari were lacking, the information may not qualify as a protected trade secret.
- Patent publication – Many technical details described as “Technical Know-How” may already be in the public domain through published patent applications. Ludens must identify which elements remain confidential.
- Adequacy of safeguards – If Ludens did not encrypt or otherwise secure its uploads, this weakens the argument that the data was treated as confidential.
- Actual misuse and causation – Even if the data was exposed, Ludens must demonstrate actual misuse or competitive harm. Mere exposure, without evidence of third-party use, may not support damages.
- Contractual allocation of responsibility – The collocation agreement may allocate responsibility for safeguarding confidential information. If Shikari's duty was limited to maintaining physical infrastructure and uptime, Ludens may bear the burden for data-level security.

Next Steps

To refine Shikari's defense on the breach of confidence claim, the following actions should be taken immediately:

- Review the collocation agreement and any associated confidentiality clauses to see how responsibility for protecting confidential information was allocated between the parties.
- Request evidence of Ludens' own safeguards, including whether it encrypted or otherwise secured its uploads, and what internal measures it maintained to protect its Commercial and Technical Know-How.
- Request evidence of actual misuse or loss suffered, such as proof that competitor's access or exploited Ludens' information as a result of the breach. Without evidence of misuse, Ludens' damages claim may be weakened.

2. Data Protection Claim

Ludens argues that patient health data was compromised and that Shikari failed to comply with GDPR Article 5(1)(f), which requires personal data to be processed with appropriate technical and organizational security measures.

a. Key definitions

- Personal Data (Art 4(1) GDPR): Any information relating to an identified or identifiable natural person
- Anonymized Data: Data irreversibly stripped of identifiers so individuals cannot be identified. This is no longer considered personal data under GDPR.
- Pseudonymized Data: Data where identifiers are replaced but re-identification is possible. This continues to fall under GDPR protections.
- Controller (Art. 4(7)): The entity determining the purposes and means of processing personal data. In this case, likely Ludens.
- Processor (Art. 4(8)): An entity processing personal data on behalf of the controller. In this case, Shikari is acting as a processor.

Ludens alleges that its patient health data was exposed during the breach. It further claims that Shikari, acting as a data processor, failed to implement the “appropriate technical and organizational measures” required under Article 5(1)(f) GDPR to prevent unauthorized access or disclosure. On this basis, Ludens argues that Shikari is directly liable for breach of data protection obligations.

Defensive Arguments

Shikari can resist the GDPR claim on the following grounds:

- Anonymized vs. personal data – If the health data was anonymized and aggregated, it does not fall within the GDPR. Ludens would need to prove the data was only pseudonymized and therefore still identifiable.
- Controller/processor allocation – Ludens is the data controller, as it decides how the datasets are used and sold. Shikari acted as a processor, hosting the data under Ludens’ instructions. Under Article 5 and 24, controllers hold the primary compliance duties, while processors’ duties under Article 28 are narrower.
- Appropriate Safeguards – Shikari operates a Rating 4 facility with 99.995% uptime and industry-recognized certifications (e.g., ISO 27001). These

measures demonstrate compliance with Article 5(1)(f), which requires reasonable, not absolute, security.

- Contractual Allocation – Liability may be limited or shifted depending on the Data Processing Agreement or colocation agreement. If Ludens failed to specify additional safeguards, Shikari may not be responsible for data=level protection.
- Attribution of failures – Article 28 places the responsibility on controllers to instruct processors. If Ludens did not require stronger protections, responsibility for the adequacy of safeguards may rest with Ludens.

Next Steps

To strengthen Shikari's defense on the GDPR claim, the following actions are recommended:

- Obtain and review the Data Processing Agreement (DPA) with Ludens to confirm the allocation of security responsibilities and instructions given.
- Confirm the anonymization status of the Health Data, determine whether the datasets were fully anonymization (which would take them outside GDPR) or merely pseudonymized.
- Gather technical documentation showing what security measures were in place at the time of the breach (e.g., intrusion detection, firewalls, encryption, monitoring).
- Review logs and forensic reports to establish how the breach occurred and whether any data was actually exfiltrated.
- Check indemnity and limitation of liability clauses in the colocation agreement, as these may cap or shift responsibility for damages.

Law Enforcement and Risk

- Breach of Confidence: For Ludens to succeed on this claim, it must show not only that the information qualified as confidential but also that it was misused and caused measurable economic loss. Mere exposure does not meet this standard. Without evidence that competitors accessed and exploited the data to Ludens' detriment, the damages claim may be weak.
- GDPR: Article 83 of the GDPR provides that fines for breaches of processor obligations (such as Article 28 duties) can reach up to €10 million or 2% of annual worldwide turnover, whichever is higher. However, liability under GDPR primarily attaches to data controllers, not processors. Given Ludens' likely status as controller, it faces greater regulatory exposure than Shikari.

- **Reputational Risk:** Even if Shikari avoids significant regulatory liability, reputational damage could result if the incident becomes public and Shikari is associated with the breach. Maintaining transparency and demonstrating cooperation with both Ludens and regulators may mitigate reputational harm.

Information Still Required

To fully access Shikari's position, the following information and documents should be obtained:

- The colocation agreement with Ludens, including any confidentiality, limitation of liability, or indemnity clauses.
- Any data processing agreement (DPA) setting out of Shikari's role and obligations under GDPR.
- Technical documentation showing what security measures were in place at the time of the breach (e.g., firewalls, access controls, intrusion detection, encryption policies).
- Logs and forensic reports clarifying how the breach occurred and whether data was exfiltrated.
- Clarification of whether health data was fully anonymized, pseudonymized, or identifiable.
- Confirmation of whether Ludens itself implemented additional safeguards (such as encrypted uploads) or whether it relied entirely on Shikari.

Annex Key Legal References

Trade Secrets/Confidentiality

- Directive (EU) 2016/943, Art. 2: defines trade secret as information that is (a) secret, (b) has commercial value due to secrecy, and (c) is subject to reasonable steps to maintain secrecy.
- Patent filings: published following submission to patent offices; therefore, not confidential once public.

GDPR – Key Definitions (Art. 4)

- Art. 4(1): *Personal data* = any information relating to an identified or identifiable natural person.
- Art. 4(7): *Controller* = natural/legal person determining purposes and means of processing.

- Art. 4(8): *Processor* = natural/legal person processing personal data on behalf of the controller.

GDPR – Substantive Obligations

- Art. 5(1)(f): controllers must take appropriate technical and organizational measures against unauthorized/unlawful processing and accidental loss/destruction/damage.
- Art. 24: responsibility of controllers for compliance.
- Art. 28: obligations of processors to act on controller's documented instructions.

GDPR – Enforcement

- Art. 83(4): fines up to €10 million or 2% global turnover for breaches of processor obligations.
- Art. 83(5): fines up to €20 million or 4% global turnover for serious controller breaches.
- Recital 85: data breaches may result in identity theft, fraud, financial loss, reputational harm.

Closing

This note represents preliminary advice only and is based on the information currently available. The defensive strength of Shikari's position will ultimately depend on the colocation and processing agreements, the classification of the Health Data, and the safeguards implemented by both parties. Ludens' breach of confidence claim relies on proving that its Know-How meets the legal criteria for trade secret protection and the misuse occurred; both elements may be difficult to establish if the information was already public or if Ludens failed to apply reasonable safeguards. For the GDPR claim, much turns on whether the Health Data was anonymized or pseudonymized and on the allocation of responsibilities between controller and processor. Shikar's role as processor, combined with its Rating 4 certification and adherence to industry-standard safeguards, provides credible defenses.

The immediate priority is to preserve all relevant evidence, review the colocation and data processing agreements, and obtain technical and forensic reports clarifying how the breach occurred. Confirming whether the health data was anonymized is essential. With this evidence, Shikari will be in a strong position to resist or limit liability, relying on contractual allocation of risk, its processor role under GDPR, and proof of appropriate security measures.

While Ludens may pursue both claims, each faces hurdles; the breach of confidence claim may fall without proof of secrecy and misuse, and the GDPR claim primarily exposes controllers rather than processors to liability. Reputational risk remains, however, and transparency with regulators and cooperation with Ludens will help mitigate this. With further documentation and fact-finding, these defensive arguments can be refined into a full litigation or negotiation strategy. At this stage, Shikari is well-positioned to resist liability or significantly limit exposure.